

Wrapper vs. Moat Ladder

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Thin layer to defensible system

PROFESSIONAL DEFINITION

The Wrapper-vs-Moat Ladder distinguishes degrees of defensibility for AI products, from a thin wrapper over a third-party model, through proprietary workflow and data, to a durable system-level moat.

WHO DEVELOPED IT

A contemporary venture-strategy framing from the generative-AI investment debate.

WHY IT WAS DEVELOPED

It was developed to answer the investor's question of whether an AI product owns anything defensible beneath a thin application layer.

FIGURE 1 · WRAPPER VS. MOAT LADDER

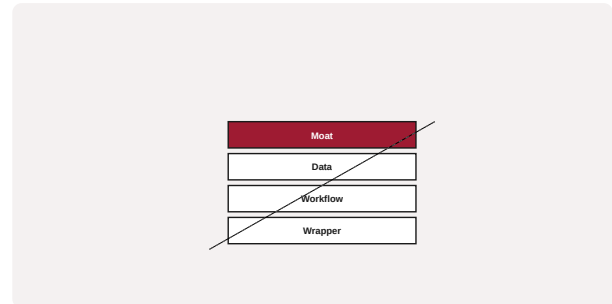


Figure 1. A schematic of the Wrapper vs. Moat Ladder as applied in BARBM312 (illustrative).

HOW IT IS USED

A product is placed on the ladder by its sources of defensibility; strategy aims to climb from wrapper toward moat.

WHEN IT IS USED

During AI product strategy and investment due diligence.

BY WHOM IT IS USED

Founders, product leaders and investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It names the central defensibility question of the AI era — a wrapper is a feature, not a moat — and charts the path to durability.

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SOURCES (HARVARD REFERENCING STYLE)

Helmer, H. (2016) 7 Powers. Deep Strategy.

a16z (2023) 'Who owns the generative AI platform?'.